

By the word *long* I mean that if the mortality rate spikes, the insurance company pays the death benefit to your family. When you are (very) young and have (numerous) dependents, you probably want to have millions of dollars worth of a position that is long mortality, because you want to hedge millions of dollars worth of human capital that potentially could be lost if the family loses its breadwinner. Then, as you age, you reduce the magnitude and size of the long position because (hopefully) your financial responsibilities and commitments start to decline when (hopefully) the kids move out of the house and your family has enough financial capital to protect themselves against the risk of your death and disability. In fact, when you are close to retirement, you might not need a long position in mortality at all, because the family might not have any financial exposure to the demise of your human capital. At that point they should only have the emotional loss.



Figure 2.4 Day-trading shares of your mortality.

Source: Moshe Milevsky and the IFID Centre, 2008.